

BEFORE THE FEDERAL MARITIME COMMISSION

SAMSUNG ELECTRONICS AMERICA, INC.

Complainant,

V.

FMC Docket No. 24-23

HMM CO., LTD. F/K/A

HYUNDAI MERCHANT MARINE CO., LTD.,

Respondent.

HMM RESPONSE TO COMPLAINANT’S MOTION TO DISMISS RESPONDENT’S COUNTERCLAIM

HMM Co., Ltd. (“HMM” or “Respondent”) responds to the motion of Samsung Electronics America, Inc. (“SEA” or “Complainant”) to dismiss the Counterclaim (“Motion”).

INTRODUCTION

HMM’s counterclaim filed April 14, 2025 (the “Counterclaim”), alleges that SEA has knowingly and willfully, directly or indirectly, by an unfair means or device, attempted to obtain ocean transportation for property at less than the charges that would otherwise apply in violation of 46 U.S.C. §41102(a). SEA’s affiliate companies, Samsung SDS Co., Ltd. (“Samsung SDS”) and Samsung Electronics Logitech Co., Ltd. (“Samsung Logitech”), led negotiations on behalf of themselves and their affiliates, including SEA, that resulted in binding service contracts between Respondent and Samsung SDS, Samsung Logitech, and SEA (the “Service Contracts”).

The Service Contracts, among other things, provided favorable terms for the Samsung entities, including rates, non-standard free time allowances, and a specific provision giving the Samsung entities authority to instruct HMM which trucker it must use in performing the inland portion of

transportation. These terms would not have been offered but for the promises contained in the Service Contracts. SEA knew of the Service Contract arrangements and was familiar with their terms when it demanded that the free time arrangements in the Service Contracts be honored by HMM. Importantly, SEA was also bound to the terms of HMM's tariff in moving its cargo, and those terms were available online during the course of SEA's relationship with HMM.

After SEA had enjoyed the benefits of the terms of the Service Contracts and its business affiliates had also shared in these benefits, it demanded refunds of all demurrage and detention fees paid since 2020 plus any future fees to be paid by SEA. It was only at this time, after incurring significant amounts of such charges, that SEA revealed its understanding of the Service Contracts and its notion of "store door terms." It did so in a demand letter seeking to coerce HMM into payment of USD \$46 million. SEA ultimately continued this scheme intended to reduce/recoup the contractually applicable costs of the shipment of its freight through the filing of the complaint dated June 5, 2024 (the "Original Complaint" and the amended complaint dated April 3, 2025 (the "Amended Complaint").

These facts, which are pled clearly and succinctly in the Counterclaim, are sufficient to support HMM's allegation that SEA's efforts constitute an attempt to obtain ocean transportation at less than legally applicable rates, in violation of 46 U.S.C. §41102(a), and are sufficient to overcome SEA's Motion and permit discovery to proceed. Moreover, the ALJ may take judicial notice of additional facts and/or technical facts within the general knowledge of the Commission, many of which are relevant here.¹

For the reasons described below, SEA's Motion to dismiss the Counterclaim should be denied.

¹ Such judicial notice may apply both in terms of other proceedings initiated by SEA and also the performance of carrier haulage movements and potential impediments to cargo delivery more generally during the period in question.

STATEMENT OF ALLEGED FACTS

The facts alleged in the Counterclaim, which will be supplemented through the submission of detailed evidence at the conclusion of discovery, are summarized below.

SEA has undertaken a campaign of sending demands to ocean carriers that provided services to it in an effort to recover payments made to carriers and to forego payment of amounts owed² through the issuance of threatening demand letters, settlement, and/or litigation. SEA has threatened to and actually filed a claim against HMM arising from services provided pursuant to Service Contracts with other Samsung business entities and in accordance with HMM's tariff.

During negotiations and as enforced throughout the terms of the Service Contracts, SEA and its affiliates required that HMM perform inland movements with customer-nominated truckers ("CNTs"). (CC ¶¶ 1-5). The Service Contracts were negotiated by SEA's affiliated businesses and name SEA as an affiliate that is obligated to conform to the terms of the Service Contracts. (CC ¶¶ 6-17). The Service Contracts and HMM's tariff contained explicit language placing the risk of non-performance by a CNT on the "[s]hipper or owner of the cargo" – here, SEA. (CC ¶¶ 20-28). This term was material, and SEA was bound by it both as a consignee/owner of the cargo based on the representations of its corporate affiliates and also pursuant to HMM's tariff. SEA also knowingly benefitted from and operated under those terms in its course of its dealings with HMM.

The problems suffered by SEA were self-inflicted. During the terms of the Service Contracts, SEA's affiliates began to ship cargo to SEA in ever-increasing volumes that exceeded SEA's capacity to receive, direct, or otherwise process it. (CC ¶¶ 29-30). SEA personnel scrambled to accept the cargo or otherwise make arrangements for its processing but could not handle the massive volumes

² SEA is alleged to have undertaken similar tactics against ZIM, allegedly accumulating some \$2 million in overdue charges. See *Samsung Electronics America, Inc. v. ZIM Integrated Shipping Services Ltd.*, FMC Docket 22-30, Initial Decision (Apr. 22, 2025).

that Samsung SDS and Samsung Logitech continued to ship from overseas. Instead, SEA let cargo, as well as empty containers from its various ocean carriers, accumulate at ports, rail ramps, storage facilities, warehouses, and customer locations. (CC ¶ 31). As a result of SEA's inability to digest the accumulating volumes of cargo from its affiliates, charges accrued at ports and terminals, from motor carriers, and for the detention of containers before and after the cargo had eventually been emptied by SEA and/or its customers. (CC ¶¶ 32-35). Thereafter, faced with mounting costs incurred as a result of these actions, SEA began to seek concessions from HMM (and seemingly every other carrier that moved SEA's cargo) in excess of what it was entitled to under the Service Contracts or tariffs in terms of additional free time, assistance from house truckers, reduced charges, and waived charges.

When SEA failed to secure concessions and compensation from HMM in excess of its entitlement under the terms of the Service Contracts and tariff, SEA undertook a now-familiar campaign against HMM, threatening HMM with a demand letter to recover approximately \$46MM *plus demanding that HMM cease to invoice future charges related to store door moves*. (CC ¶¶ 37-38). To justify its demand, SEA invented a definition for "store-door" terms that would effectively saddle HMM with limitless liability for SEA's own actions and inactions related to accepting the cargo shipped to SEA by its affiliates in Korea. (CC ¶¶ 38-39). Importantly, SEA also failed or refused to utilize HMM's dispute resolution procedures, going so far as to claim that HMM had no such procedure in both its Original Complaint, and *again* in the Amended Complaint. (CC ¶¶ 40, 42-43; Original Complaint ¶¶46(e), 92; and Amended Complaint ¶¶67(k), 92).³ SEA then demanded that HMM refund all detention, demurrage, and related charges paid and to forego billing for future charges that would be owed while refusing *to this day* to disclose details about the specific charges

³ It is worth noting that SEA made what are effectively identical allegations in its proceedings against ZIM in FMC Docket 22-30; against SM Line in FMC Docket 23-01; against COSCO Shipping Lines (both in its original and amended complaints) in FMC Docket 24-16; and against OOCL (both in its original and amended complaints) in FMC Docket 24-17.

or grounds for its belief that HMM was responsible for these costs. (CC ¶¶ 44-46). SEA's demand even appears to include charges that were waived or refunded by HMM during the course of its performance, meaning that in some cases SEA seeks to recover twice for some charges. (CC ¶ 61).

In support of its curious position, SEA has asserted that even though Samsung entities employed and mandated the use of the CNTs under the respective Service Contracts and tariff, HMM was somehow responsible for SEA's failure to responsibly manage the Samsung/SEA supply chain. And SEA asserts that, even though Samsung entities deluged SEA with a tsunami of cargo that swamped its managerial and supply chain capacities, HMM should nevertheless bear the sole responsibility and cost of SEA's inability to receive the tremendous volumes of cargo sent by its Korean affiliates. SEA further asserts that, based on the definition of "store door" terms it created (notwithstanding that such definition conflicts with Commission precedent, industry practice, and the intent of the parties in the Service Contracts), it is entitled to a refund of charges it paid, at least in part, to HMM when HMM dutifully delivered SEA's cargo using SEA's own CNTs during what was one of the most challenging times in industry history.

The basis for this novel and unsupported claim is a single piece of terminology in the shipments' bills of lading – "store-door" – a delivery term which SEA has mis-interpreted so as to shift responsibility from SEA, as agreed in the Service Contracts and under HMM's tariffs, to HMM. SEA's theory is baseless, and, moreover, SEA apparently never intended to be bound to the terms of the Service Contracts despite accepting the benefits of those terms. SEA's efforts were part of an intentional scheme to receive transport services at less the applicable rates by misrepresenting the relationship amongst affiliated Samsung entities, obscuring the nature of SEA's understanding of the Service Contracts, repeatedly threatening HMM in order to coerce concessions and finally in the

filing of the Original Complaint. Because these alleged facts are more than sufficient to support the Counterclaim against SEA for violation of 46 U.S.C. §41102(a), SEA's Motion should be denied.

LEGAL STANDARD

The Commission evaluates motions to dismiss by applying Fed. R. Civ. P. 12(b) and federal case law as an interpretive guide. *Mitsui O.S.K. Lines Ltd.*, 2011 WL 7144008 at *12; *Marine Transp. Logistics, Inc. v. CMA-CGM (America) LLC*, FMC Docket 18-07, 2019 WL 5206007, at *2 (FMC Oct. 8, 2019). See Fed. R. Civ. P. 12(b)(6) (failure to state a claim upon which relief can be granted). All well-pleaded factual allegations in the Counterclaim should be assumed to be true and should be construed in the light most favorable to HMM. *Cargo One Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. 1351, 1365 (ALJ 2000). The Presiding Officer may also take judicial notice of additional facts and/or technical facts within the general knowledge of the Commission, many of which are relevant here.⁴

When evaluating a motion's 12(b)(6) arguments, the Commission should "construe the factual allegations in the [counterclaim] in the light most favorable to [Respondent] and must grant [Respondent] the benefit of all inferences that can be derived from the facts as alleged in the [counterclaim]." *Marine Transport*, 2019 WL 5206007, at *3. A complaint, or counterclaim as here, need only provide a "clear and concise factual statement sufficient to inform each respondent with reasonable definiteness of the acts or practices alleged to be in violation of the law," 46 C.F.R. § 502.62(a)(iii); see also 5 C.A. Wright & A.R. Miller, *Fed. Prac. & Proc. Civ.* § 1215 (3d ed. 2010) ("[T]he test of a [counterclaim's] sufficiency simply is whether the document's allegations are detailed and informative enough to enable the [counterclaim] defendant to respond.").

⁴ The ALJ may take judicial notice of SEA's other proceedings before the Commission and the records therein as well as other Commission holdings, comments, and documents such as those resulting from the Commission's Fact Finding 29 wherein the Commission investigated the effects of the Covid-29 pandemic on the industry to support its conclusions here.

A counterclaim must contain non-conclusory allegations of fact that, if true, would demonstrate that a violation occurred. *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 555 (2007); *see also Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009). Accordingly, a “well-pleaded [counterclaim] may proceed even if it strikes a savvy judge that actual proof of those facts is improbable, and that recovery is very remote and unlikely.” *SD3, LLC v. Black & Decker (U.S.) Inc.*, 801 F.3d 412, 418 (4th Cir. 2015) (*quoting Twombly*, 550 U.S. at 556); *see also In re Text Messaging Antitrust Litig.*, 630 F.3d 622, 629 (7th Cir. 2010) (Posner, J.) (plausibility “need not be as great as such terms as ‘preponderance of the evidence’ connote”).

The Shipping Act provides: “A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.” 46 U.S.C. 41102(a) (emphasis added). To make out a prima facie violation of 46 U.S.C. 41102(a), a complainant must merely allege that: (a) a person, (b) knowingly and willfully, (c) by an unjust device or means, (d) obtained or attempted to obtain ocean transportation rates for property at less than the rates or charges that would be otherwise applicable. *Rose International, Inc. v. Overseas Moving Network International, Ltd.*, 29 S.R.R. 119, 158 (FMC 2001).

In evaluating claims before it, Commission precedent does not require a heightened standard of pleading for allegations of fraud and has explicitly rejected the incorporation of Federal Rule 9(b) into its own rules. In 1993, the Commission proposed to amend its procedural rules to add a requirement, similar to F.R.C.P. 9(b), that would “require in all complaints alleging violations of section 10(a)(1) of the 1984 Act . . . the circumstances constituting such violations must be stated with particularity.” *Miscellaneous Amendments to the Rules of Practice and Procedure*, 26 S.R.R.

1053, 1053 (FMC 1993). Thereafter, the Commission concluded that no such new procedural rule regarding section 10(a)(1) (since codified as 46 U.S.C. 41102(a)) was necessary and that the pleading rules should be applied uniformly to all alleged violations of the Shipping Act. *Id.* at 1055 (“we are satisfied that a new procedural rule applicable to only to section 10(a)(1) is not needed at this time”).

Then-Chief Administrative Law Judge Guthridge and the Commission reaffirmed the decision not to require a heightened pleading standard for complaints raising claims under 46 U.S.C. 41102(a) in *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Docket No. 09-01, 31 S.R.R. 1369 (ALJ Order on Motions to Dismiss), affirmed in pertinent part, 32 S.R.R. 126 (FMC 2011). In the holding, Judge Guthridge flatly rejected the argument that complaints alleging violations of 46 U.S.C. 41102(a) had to be pled with greater than normal particularity. In this respect, he explained:

“Commission Rule 62 sets forth the requirements for a private complainant initiating a complaint proceeding. The Commission’s Rules do not include an equivalent to Rule 9(b) that requires a party to state with particularity the circumstances constituting fraud. . . . Neither [of the Respondents] cite to any Commission proceeding in which the pleading standard set out in Rule 9(b) was imposed on a complainant. As noted above, pleadings in administrative proceedings are not considered to be ‘critically important’” 31 S.R.R. at 1384.

Judge Guthridge went on to note the rulemaking discussed above and declared: “Where the Commission has determined that an equivalent to a federal rule is not needed (i.e., it is not consistent with the Commission’s administrative practice to require stating circumstances of section 10(a)(1) violations with particularity), I will not hold otherwise.” *Id.* The full Commission upheld Judge Guthridge, over the dissent of Commissioner Khouri, who asserted that Rule 9(b) should apply. 32 S.R.R. 126 (FMC 2011). In light of this precedent, no heightened pleading standard applies to a counterclaim such as the one raised here.

ARGUMENT

I. The Counterclaim's Allegations that SEA has Unlawfully Accepted Service with Intent to Evade Payment of Applicable Amounts for Such Services Through Obfuscation and Coercion Supports a Claim Under 46 U.S.C. §41102(a)

A. HMM Sufficiently Alleges Knowing and Willful Conduct by SEA.

As SEA acknowledges, knowing and willful conduct is established if the party had knowledge of the facts of the violation and acted either intentionally or with reckless disregard, plain indifference, or purposeful or obstinate behavior akin to gross negligence. Such actions have been sufficiently alleged by HMM.

In its Counterclaim, HMM alleges that SEA, in conjunction with its affiliated businesses, knew of and accepted service and benefits under the Service Contracts even though SEA never intended to be responsible for the charges, including detention and demurrage accrued as the result of reliance upon CNTs, it had agreed to pay thereunder. It then attempted to reduce or eliminate the amounts owed under the Service Contracts by disclaiming the applicability of the Service Contracts and engaging in repeated attempts to obscure its relationship with its affiliates. This was followed with threats and demands and then the filing of the Original Complaint and the Amended Complaint. This ongoing pattern of accepting benefits without intent to pay the applicable rates for same followed by the issuance of threats and demands in order to extract concessions all constituted an unjust and unfair scheme meant to allow SEA to ultimately receive ocean transportation services at less than applicable rates. This pattern of obfuscation continued in its Motion and even in its Original Complaint and the Amended Complaint wherein SEA again seeks to avoid any mention of the nature of its relationship to its Samsung affiliates, its relationship to the cargo, and its knowledge of the

contracts.⁵ HMM’s pleading of the Counterclaim is therefore sufficiently specific to overcome SEA’s Motion.

SEA argues that HMM “does not allege any knowing or willful conduct by SEA in connection with SEA obtaining or attempting to obtain ocean transportation from HMM at all” because HMM does not allege that SEA signed a contract, that SEA owned shipments, or that SEA failed to pay its invoices. No such allegations are required to show that SEA acted knowingly or willfully. Instead, as alleged by HMM, HMM entered into Service Contracts based on the agreement of SEA and its affiliates that SEA would nominate trucking companies and be responsible for charges incurred by those companies (CC ¶¶ 21-22); SEA knew of the Service Contracts when it instructed HMM to move its cargo using SEA’s nominated truckers (CC ¶ 32); SEA concealed its understanding of the Service Contracts and its intent to dispute all detention and demurrage charges until after performance (CC ¶ 44); and then issued a demand and ultimately initiated litigation seeking to extract concessions or refunds of the amounts lawfully owed under the Service Contract and future charges yet to be incurred (CC ¶ 37). In short, HMM has met its pleading burden by alleging that SEA’s cumulative efforts were undertaken in an attempt to obtain transportation services with the intent to then dispute all charges and utilize a series of threats, demands, and litigation to secure reduced rates for the transportation of its cargo. (CC ¶¶ 44-45, 48-49, 56).

Even if SEA was not a party to the Service Contracts, it knew or should have known that it was subject to the terms of HMM’s tariff. (CC ¶ 27). Furthermore, SEA’s Amended Complaint

⁵ For example, SEA’s Original Complaint and Amended Complaint each make reference to “SEA goods” (¶15) and “SEA’s property” (¶62) but otherwise seeks to obscure its relationship to the goods except to the extent that it admits it was the consignee. SEA also makes reference sea waybills and bills of lading but disregards the terms of HMM’s tariff which was incorporated in same and outlines exactly the service to which SEA was entitled. This is true whether or not SEA believes it was a party to the Service Contracts because the Service Contracts explicitly incorporated the relevant tariff language. Furthermore, SEA does not (and cannot) explain the basis for its definition and conclusions for “store door” terms because there is no such basis, but, at the same time, rests its entire case on a unilateral interpretation that is thus far supported by a mere allegation.

provides that HMM moved “SEA goods” and “SEA’s property.” (AC ¶¶ 15, 62). HMM does not allege that SEA failed to pay its invoices but instead alleges that SEA (along with its affiliates) took advantage of the benefits of the Service Contracts such as decreased freight rates, increased free time over what parties reliant upon HMM’s tariff alone were entitled, waivers for invoiced charges that were premised on the relationship between HMM and Samsung’s affiliated entities, including SEA, and the mandated use of SEA’s nominated truckers. All the while, SEA had no intention of paying for the charges it let accrue under the terms of the Service Contracts. (CC ¶ 56). Thus, it later sought to disavow itself from them, demanding that HMM issue refunds, waivers, and cease invoicing SEA for lawful future charges. (CC ¶¶ 32-45, 61-62).

Commission Rule 62 requires counterclaims only to allege facts “sufficient to inform each respondent with reasonable definiteness” of the alleged violation. *See* 46 C.F.R. § 502.62(a)(3)(iii). The plausibility standard “simply calls for enough fact[s] to raise a reasonable expectation that discovery will reveal evidence” of the alleged violation. *Twombly*, 550 U.S. at 556. “A [counterclaim] survives a motion to dismiss even ‘[i]f there are two alternative explanations, one advanced by [the] defendant and the other advanced by [the] plaintiff, both of which are plausible.’” *Banneker Ventures, LLC v. Graham*, 798 F.3d 1119, 1129 (D.C. Cir. 2015) (citation omitted). At the pleading stage, the “choice between two plausible inferences that may be drawn from factual allegations is not a choice to be made by the court on a Rule 12(b)(6) motion.” *Anderson News, LLC v. Am. Media, Inc.*, 680 F.3d 162, 185 (2d Cir. 2012). Thus, it is improper to dismiss a counterclaim “that states a plausible version of the events merely because the court finds a different version more plausible.” *Id.* Such an inquiry confuses “probability and plausibility” by “weighing the competing inferences that can be drawn from the complaint.” SD3, 801 F.3d at 425.

B. HMM Sufficiently Alleges Use of an Unfair Device or Means by SEA.

SEA erroneously argues that “HMM merely makes the conclusory allegation that SEA employed an ‘unjust or unfair device or means.’” Motion at 9. HMM did not merely make conclusory allegations.

HMM specifically articulates what SEA did and explains why it embarked on this unlawful conduct: to secure the financial benefits of clawing back existing charges and disclaiming responsibility for future charges for lawfully assessed detention and demurrage, charges that were attributable to SEA’s own shortcomings and those of its nominated truckers. More specifically, the Counterclaim alleges that:

- SEA was named an Affiliate of Samsung in the Service Contracts and is bound to the Service Contracts’ terms and conditions as well as the terms of HMM’s tariff. (CC ¶¶ 6, 11, 14-16, 23).
- Demurrage and detention charges reflected in invoices issued by HMM and/or SEA’s nominated truckers to SEA and paid by SEA were lawfully assessed due to the failure of SEA and its CNTs to take delivery of shipments from terminals and to return empty equipment to HMM prior to the expiration of free time. (CC ¶¶ 63, 65).
- SEA did not challenge the individual demurrage and detention charges at the time they were incurred through the dispute resolution process that had been established by HMM or by any other contemporaneous means available. (CC ¶¶ 40, 43).
- Years after the charges accrued, SEA demanded that all charges be refunded and future charges be waived without identifying the affected shipments and without regard to fault. (CC ¶ 37-41).

- SEA concealed its understanding of the Service Contracts and intent to dispute all detention and demurrage accrued according to the terms of the Service Contracts until after HMM had fully performed its obligations under same. (CC ¶ 44).
- SEA never intended to be responsible for the CNT charges it had agreed to pay. (CC ¶ 56).
- HMM requested information from SEA supporting its demand for reimbursement, but SEA did not provide sufficient documents or substantive evidence to support its demand despite multiple exchanges between SEA and HMM. (CC ¶¶ 45-46).
- SEA demanded refunds of charges imposed pursuant to the terms of the Service Contracts, demanded that HMM waive future lawful charges, issued demands and initiated legal proceedings against HMM in an attempt to seek recovery of demurrage, detention and other charges which have been properly assessed to SEA by virtue of its own acts and omissions.” (CC ¶ 66).

These factual allegations offer more than mere “conclusions.” *Marine Transp. Logistics, Inc.*, 2019 WL 5206007, at *3 (*quoting Iqbal*, 556 U.S. at 678). As such, the Counterclaim is more than sufficient to inform SEA with reasonable definiteness of the acts giving rise to HMM’s claim under §41102(a). Moreover, HMM has satisfied the false or fraudulent element of its claim pursuant to the standards iterated in *OC Int’l Freight, Inc.*, FMC Docket 12-01, 2014 WL 5316336 at *5 (FMC July 31, 2014) in that it has alleged SEA intentionally concealed its understanding of the Service Contracts and its intent to dispute all demurrage and detention charges (including future charges) until after agreement to and performance of services by HMM so as to conceal its intent to ultimately disclaim its obligation to pay these contractually mandated charges. It then furthered this scheme by threatening HMM in an effort to coerce reductions in those charges and ultimately initiated this

litigation.⁶ Contrary to SEA's assertions, this is precisely the type of "bad faith" action meant to induce carriers to relinquish or reduce freight charges which were intended to be the subject of 46 U.S.C. 41102(a). *See* 46 CFR 545.2 ("An 'unjust or unfair device or means' could be inferred where a shipper, in bad faith, induced the carrier to relinquish its possessory lien on the cargo and to transport the cargo without prepayment by the shipper of the applicable freight charges").

C. A Heightened Pleading Standard is Not Required Here.

SEA asserts that a claim under Section 41102(a) sounds in fraud and therefore must meet the standards of FRCP 9(b). However, the FMC specifically rejected incorporation of FRCP 9(b) into its procedural rules. As discussed above, the Commission considered its incorporation and rejected the opportunity to do so. *See Miscellaneous Amendments to the Rules of Practice and Procedure*, 26 S.R.R. 1053, 1053-1055 (FMC 1993); *see also Mitsui O.S.K. Lines Ltd.*, Docket No. 09-01, 31 S.R.R. 1369; 32 S.R.R. 126 (FMC 2011). Thus, while HMM has met its burden to plead the type of fraudulent, bad faith, deceitful, etc. behavior necessary to demonstrate an "unjust or unfair device," no heightened standard relating to causes of action sounding in fraud applies.

D. HMM Has Sufficiently Alleged the Element of Ocean Transportation.

HMM's Counterclaim is properly supported with facts showing that SEA sought to claw back lawfully assessed detention and demurrage charges that are, as a matter of law, an extension of freight: "It is well recognized that demurrage is extended freight, that is, extended ocean freight charges, and that the risk of vicissitudes which prevent the loading or discharge of cargo within the stipulated lay days or free time allowed by tariffs, should be borne by the cargo interest, shipper or consignee, as the case may be." *Gulf Puerto Rico Lines, Inc. v. Associated Food Co., Inc.*, 366 F.Supp. 631, 636

⁶ In this regard, the filing of the Complaint was simply the latest action in a series of related actions with the ultimate aim of receiving transportation for less than contractually applicable amounts.

(D. PR 1973); *citing, Yone Suzuki v. Central Argentine Ry.*, (“demurrage is extended freight and not damages for breach...” 27 F.2d 795, 805 (2nd Cir. 1928)).

SEA itself acknowledges that it was the consignee of cargo moved by HMM; that the cargo HMM moved was “SEA’s property”; and that this included inland transportation under through bills of lading and sea waybills to SEA’s customers and warehouses. (*See* AC ¶¶ 30, 32, 63). Moreover, SEA was named as an affiliate in the Service Contracts and was specifically bound to their terms and conditions by its affiliated Samsung entities. SEA benefitted from HMM’s services and the use of its equipment, including favorable free time terms. Having concealed its intent to avoid its contractual obligations, SEA then engaged in a series of actions meant to coerce HMM into allowing SEA to recoup what it had agreed to pay HMM. There can be no question that all of this was integrally related to transport and delivery of cargo.

E. The *Noerr-Pennington* Doctrine is Not Applicable to HMM’s Counterclaim

SEA mistakenly relies upon the *Noerr-Pennington* Doctrine, which is misplaced with respect to the Counterclaim. SEA seems to misunderstand (or ignore) the pattern of conduct that HMM claims to be a violation of Section 41102(a). HMM does not rest its claim on the filing of the Amended Complaint, which is merely the most recent step in its attempt to obtain service from HMM at less than the rates or charges to which it agreed.

HMM’s Counterclaim is premised on SEA’s unfair and unjust efforts to avoid contractual obligations and obligations under HMM’s tariff while retaining the benefits of the Service Contracts which it willingly accepted during the contractual terms. For example, HMM has alleged that it waived detention and demurrage charges for SEA based on the contractual relationship amongst Samsung entities even though SEA was obligated to pay the charges. (CC ¶¶ 61-62). SEA also accumulated massive volumes of charges pursuant to the Service Contracts and then brought an

amorphous claim against HMM, dragging HMM into costly litigation. (CC ¶¶ 44-46, 54-56). The unfair means or device complained of here is not the filing of the Original Complaint or Amended Complaint, but rather, the after-the-fact attempt to evade contractual obligations and obscure corporate relationships in conjunction with threats to HMM and, ultimately the filing of the Original Complaint and the Amended Complaint, in an effort to coerce discounts to the applicable contractual rates. Accordingly, SEA's reliance upon *Noerr-Pennington* in support of dismissal is misplaced.

II. HMM Should be Granted Leave to Amend its Counterclaim if its Allegations are Determined to be Insufficient

Should the Presiding Officer determine that HMM's Counterclaim is insufficient on its face, HMM respectfully argues it be granted leave to amend under the Commission's Rules of Procedure and corresponding criteria under the Federal Rules of Civil Procedure. This principle has been recognized in other Commission proceedings:

The rules do not provide criteria for evaluating whether to grant or deny a motion to amend a complaint. However, Commission Rule 12 provides that "for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." 46 C.F.R. § 502.12. Under Federal Rule 15(a)(1)(B), "a party may amend its pleading once as a matter of course" within 21 days after service of a responsive pleading. F.R.C.P. 15(a)(1)(B). After that period, an amended pleading is permitted with the opposing party's written consent or leave of court which, should be freely given when justice so requires. F.R.C.P. 15(a)(2). "Denial of leave to amend therefore constitutes an abuse of discretion unless the court gives sufficient reason, such as futility of amendment, undue delay, bad faith, dilatory motive, undue prejudice, or repeated failure to cure deficiencies by previous amendments."

Impact Products, LLC and Safety Zone, LLC v. Yang Ming Marine Transport Corp., 2024 WL 4474515 (citing *Bancoult v. McNamara*, 214 F.R.D. 5, 8 (D.D.C. 2003) (citations omitted)); *see also Foman v. Davis*, 371 U.S. 178, 182 (1962) (ALJ Order Granting Motion to Amend Complaint); *see*

also *CCMA, LLC v. Maersk A/S and Ports America Chesapeake, LLC* 2022 WL 458571, at *1. Moreover, “[d]enial of leave to amend therefore constitutes an abuse of discretion unless the court gives sufficient reason, such as futility of amendment, undue delay, bad faith, dilatory motive, undue prejudice, or repeated failure to cure deficiencies by previous amendments.” *Bancoult v. McNamara*, at 8 (citations omitted).

As such, if the Presiding Officer determines that the Counterclaim is somehow insufficient, HMM should be granted leave to amend its Counterclaim.

CONCLUSION

For the reasons articulated in this Response and with consideration of the scope of SEA’s efforts to obtain services from HMM and other ocean carriers below the agreed-upon rates,⁷ the Presiding Officer should deny SEA’s Motion to dismiss the Counterclaim.

If the Presiding Officer finds the Counterclaim insufficiently alleges a violation of the Shipping Act, HMM respectfully requests leave to amend the Counterclaim within twenty (20) days of the issuance of such decision.

⁷ Despite SEA’s assertion that HMM seeks to delay this proceeding and increase the costs to SEA, HMM again notes that SEA has taken the liberty of repurposing its allegations against each ocean carrier without regard to tailoring them to individual respondents and should enjoy the benefits of this efficiency while each respondent is burdened with responding to same.

Dated: May 27, 2025

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 27th day of May 2025, the foregoing Response to Complainant's Motion to Dismiss the Counterclaim were served via electronic mail on:

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